

PROJECT

QUARRY

Executive Teaser

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March 2019

Transaction Overview

Company	Consolidated Rock Industries
Sector	Light Industrial — Aggregates & Quarrying
HQ / Founded	Salt Lake City, UT / 2004
Advisor	Harris Williams & Co. (Exclusive)
LTM Revenue	\$245M
LTM Adj. EBITDA	\$44M (18.0% margin)
Revenue Growth	+18% YoY (LTM)
Asking EV	~\$350M (7.9x LTM Adj. EBITDA)

Consolidated Rock Industries at a Glance

Overview and key operating metrics

Consolidated Rock Industries ("CRI" or the "Company") is a leading regional aggregates producer operating 14 permitted quarry sites across Utah, Nevada, Colorado, and Idaho. The Company produces crushed stone, construction sand & gravel, and ready-mix concrete for residential, commercial, and infrastructure end-markets. With over 580M tons of permitted mineral reserves, CRI offers an acquiror 30+ years of fully-permitted production capacity — a near-irreplaceable asset given increasingly restrictive permitting environments.

Founded

2004

Employees

~640

Reserves

~580M tons

HQ

Salt Lake City, UT

Quarry Sites

14 (4 states)

Fleet

220+ vehicles

LTM Revenue

\$245M

LTM Adj. EBITDA

\$44M

YoY Revenue Growth

+18%

Permitted Reserves

580M tons

Why Consolidated — Six Investment Highlights

01

Irreplaceable permitted reserve base with 30+ years of production

580M tons of permitted mineral reserves across 14 active quarry sites · New quarry permitting in the Mountain West takes 8–15 years and >\$12M — creating structural supply constraints · CRI holds the largest single permitted reserve in the Salt Lake Basin (190M tons, Granite Peak site)

03

Strong pricing power in consolidated local markets

CRI holds #1 or #2 market position in each of its 6 served metropolitan areas · Crushed stone ASP of \$14.20/ton vs. regional average \$11.80/ton — 20% premium reflects permit scarcity · Pricing increased 6.2% in FY2018 with no volume impact; further increases planned for 2019

05

Consistent cash generation with low ongoing capex requirements

Quarrying is a low-reinvestment business once permitted — maintenance capex averages 4.2% of revenue · Free cash flow conversion >85% of Adj. EBITDA over trailing 3 years · No material environmental remediation liabilities — all sites carry active closure bonds

02

Diversified end-market exposure with infrastructure tailwind

Revenue mix: infrastructure/public works 48%, residential 31%, commercial 21% · IIJA (Infrastructure Investment & Jobs Act) expected to generate \$550B+ in construction spending through 2028 · Utah DOT awarded \$2.1B in highway projects for 2019–2023; CRI is sole-source supplier on 3 projects

04

Vertically integrated with owned logistics and ready-mix

220-vehicle owned fleet eliminates third-party trucking dependency — saves est. \$8M/yr vs. outsourced · Ready-Mix Concrete division (14% of revenue) captures downstream value and improves product mix · Owned rail spur at Granite Peak enables large-volume, long-haul sales to new geographies

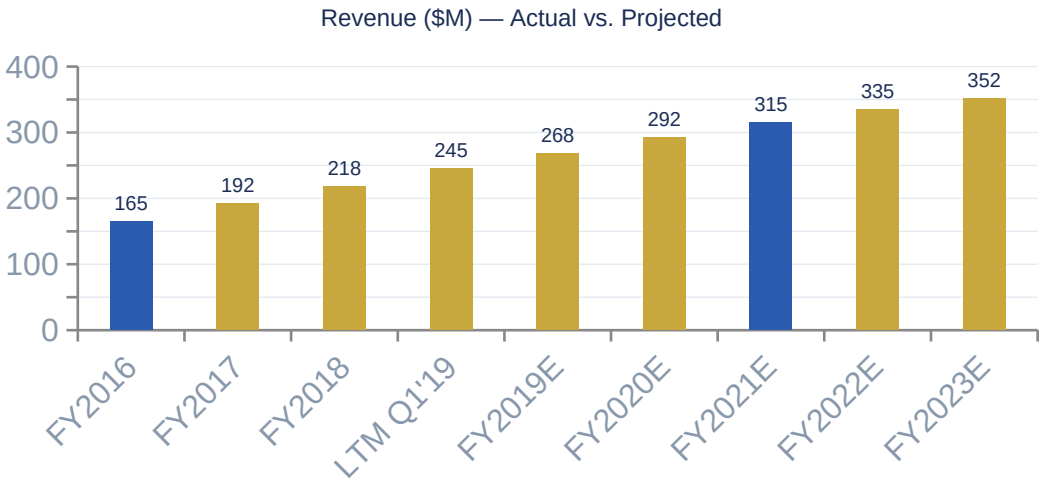
06

Founder-led platform with active M&A pipeline

CEO David Mercer has identified 6 bolt-on quarry targets in adjacent markets (WY, MT, AZ) · 3 targets in late-stage negotiation; combined EV ~\$85M at 5–6x EBITDA (immediate accretion) · Acquisitive roll-up strategy proven — CRI completed 4 acquisitions 2012–2017 at avg. 5.3x EBITDA

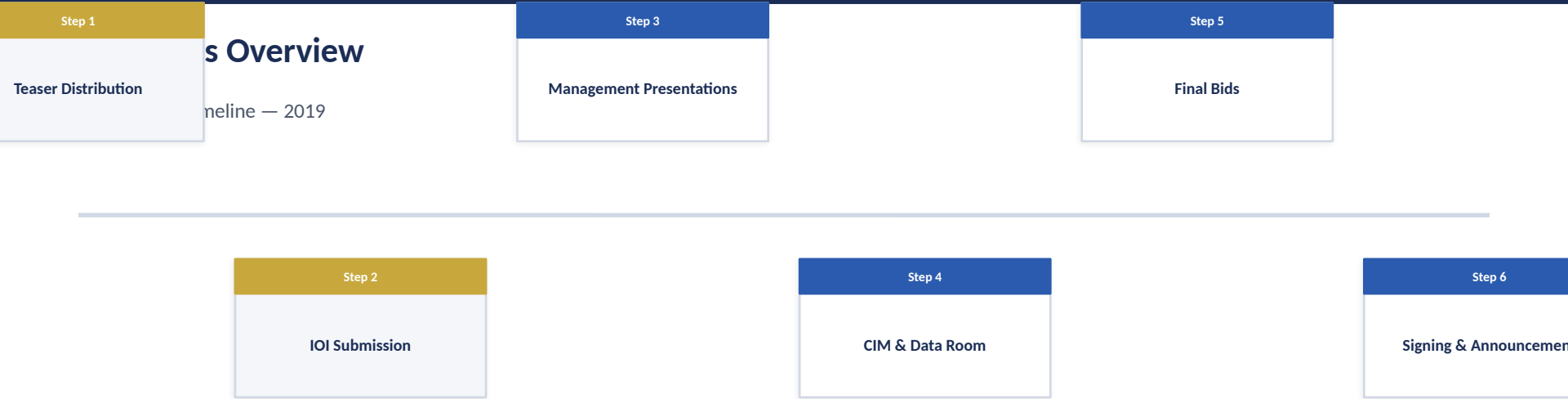
Financial Performance

Historical results and management projections (\$ in millions)



(\$M)	FY2016	FY2017	FY2018	LTM Q1'19	FY2023E
Revenue	165.0	192.4	218.3	245.1	
YoY Growth	—	+16.6%	+13.5%	+18.1%	
EBIT	9.9	12.9	15.2	18.6	
Interest Expense	(11.5)	(10.8)	(10.2)	(9.8)	
Revenue	268	292			
Adj. EBITDA	50	57			
EBITDA Margin %	18.7%	19.5%			

E = Management projections; not independently verified by Harris Williams & Co..



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